Corporate Deductions and Shareholder Loan Rules

Illustrative regulatory summary prepared for compliance-review demonstration. This document paraphrases publicly available Canada Revenue Agency (CRA) guidance for testing purposes and is not an official CRA publication.

Section 1 - Meals and Entertainment: 50% Limitation (ITA s.67.1)

Under section 67.1 of the Income Tax Act, the amount a taxpayer may deduct for food, beverages, and entertainment is generally limited to 50% of the lesser of the amount actually paid and a reasonable amount in the circumstances. Claiming 100% of meals and entertainment expenses as a business deduction overstates the allowable amount.

The restriction extends to the Goods and Services Tax / Harmonized Sales Tax (GST/HST). Input Tax Credits (ITCs) on meals and entertainment are similarly limited to 50% of the tax paid. A registrant that claims ITCs on the full amount of meals and entertainment must adjust its net tax to reverse the disallowed 50% portion; failure to do so is a common audit adjustment.

Section 2 - Motor Vehicle Expenses and Logbook Requirements

Where a vehicle is used for both business and personal purposes, only the business-use portion of the expenses is deductible. The taxpayer must support the business-use percentage with a logbook recording, for each business trip, the date, destination, purpose, and kilometres driven, together with the total kilometres driven in the year.

Absent an adequate logbook for the taxation year, the CRA may reduce or disallow the claimed business-use percentage on review. A full logbook for a base year, combined with a representative sample period, may be used in limited circumstances, but no contemporaneous records significantly weakens the claim.

Section 3 - Shareholder and Director Loans (ITA s.15(2) and s.80.4)

Subsection 15(2) of the Income Tax Act requires that a loan or indebtedness owed by a shareholder (or a person connected with a shareholder, including a director) to the corporation be included in the shareholder's income, unless the loan is repaid within one year after the end of the taxation year of the corporation in which the loan was made. A series of loans and repayments does not avoid the inclusion.

A loan that remains outstanding beyond this period - for example, a loan to a sole director that has been outstanding for more than a fiscal year with no documented repayment schedule - risks being added to the individual's income. In addition, section 80.4 may impute a taxable interest benefit where the loan bears interest below the CRA prescribed rate. A documented repayment plan and timely repayment are essential.

Section 4 - Payments to Non-Residents (Regulation 105 and Part XIII)

A person who pays a non-resident for services rendered in Canada must withhold 15% of the payment under Regulation 105 and remit it to the CRA, unless a treaty-based waiver has been obtained. Separately, Part XIII of the Income Tax Act imposes a 25% withholding on certain passive payments to non-residents (such as dividends, rents, and royalties), subject to reduction under an applicable tax treaty.

A corporation expanding to serve clients in the United States, or making payments to non-resident service providers, should obtain advice on its withholding and reporting obligations before transactions occur. Failure to withhold makes the payer liable for the amount that should have been withheld, plus penalties and interest.